

RRSP vs TFSA vs FHSA

A Decision Framework for Canadian Investors

This is the framework used by CFP/CIM professionals to help clients prioritize their registered accounts. Your situation has nuances — but this is the starting architecture.

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STEP 1

Emergency Fund First

Hold 3 months of essential expenses in a high-interest savings account. Not invested, not at risk.

If you don't have this, nothing else matters yet. This is your financial foundation — build it before anything else.

Your emergency fund is the base of every financial plan. Build it first, then move on.

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STEP 2

Capture Your Employer Match

If your employer matches RRSP or defined contribution pension contributions, maximize that match before doing anything else.

An employer match is a guaranteed 100% return on your money. No investment strategy competes with free money.

Always capture the full employer match — it's the only guaranteed double in finance.

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STEP 3

The FHSA Question

Are you a first-time home buyer planning to purchase within the next 15 years? If yes, open an FHSA immediately.

\$8,000/year in contribution room does not carry forward until the account exists. You get a tax deduction going IN, tax-free growth inside, and completely tax-free withdrawals for a qualifying home purchase.

The FHSA is the most powerful registered account Canada has ever created. Open it now if you qualify — even if you're unsure about buying.

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STEP 4

TFSA vs RRSP — The Core Decision

Our position: for the vast majority of Canadians, the TFSA should be prioritized over the RRSP. Here's why.

Why the TFSA Wins for Most People

- **Tax-free growth, tax-free withdrawals.** You will never pay tax on a single dollar that comes out of your TFSA — no matter how large it grows.
- **No forced withdrawals.** Unlike RRSPs/RRIFs, there are no mandatory minimum withdrawals at any age. You control when and how much you take out.
- **No impact on government benefits.** TFSA withdrawals do not count as income, so they will never reduce your OAS, GIS, or other income-tested benefits.
- **Estate planning advantage.** On death, the full TFSA balance passes to your beneficiaries completely tax-free. Name a successor holder (spouse) and the account continues.
- **Flexibility.** Contribution room is restored the following year after a withdrawal. You can access your money without permanent consequences.

The Hidden Costs of RRSPs

- **Fully taxed on withdrawal.** Every dollar coming out of an RRSP or RRIF is taxed as ordinary income. You are not avoiding tax — you are deferring it.
- **Forced RRIF conversion at 71.** By December 31 of the year you turn 71, your RRSP must convert to a RRIF. You are forced to withdraw annual minimums.
- **Tax bracket stacking.** Combine mandatory RRIF minimums with CPP, OAS, and pension income, and you can be pushed into a higher bracket in retirement.
- **GIS clawback.** RRIF income counts toward GIS eligibility. Lower-income retirees can lose significant government benefits because of RRSP/RRIF withdrawals.
- **Devastating on death.** If you die with no qualifying beneficiary, the entire RRSP/RRIF balance is taxed as income on your final return. A \$1M RRSP could lose nearly 50%.

When Does the RRSP Still Make Sense?

- **High current income (above ~\$150K).** If your marginal rate is very high today and retirement income will be significantly lower, the deferral can still work.
- **Employer matching.** Always capture an employer RRSP match — the match itself is what matters.
- **Income splitting in retirement.** RRIF income can be split with a spouse after 65. If not planning to split, this benefit disappears.
- **FHSA/HBP for a home.** Using RRSP room for the Home Buyers' Plan (\$60K) after maxing your FHSA (\$40K) is a valid strategy.

Bottom line: Unless you are in a very high tax bracket and actively planning income splitting, build your TFSA first. Tax-free beats tax-deferred in almost every retirement and estate scenario.

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STEP 5

Eliminate High-Interest Debt

Anything above 6–7% interest (credit cards, unsecured lines of credit) should be paid off before investing beyond your employer match.

Paying off a credit card charging 20%+ is a guaranteed, risk-free return that no investment can reliably match.

Credit card debt compounds against you. Eliminating it is the single best guaranteed return available.

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STEP 6

Non-Registered Accounts

Once your TFSA and RRSP room are both maximized, invest in a non-registered (taxable) account using tax-efficient strategies.

Canadian dividend ETFs benefit from the dividend tax credit. US-listed ETFs can improve foreign withholding tax efficiency. Capital gains are taxed at a lower inclusion rate than interest income — structure accordingly.

KEY RULES TO REMEMBER

- TFSA first for most Canadians — tax-free growth and withdrawals beat tax deferral in almost every scenario.
- FHSA before RRSP HBP for down payments — it is strictly better. Use the HBP (\$60K) after FHSA is maxed (\$40K).
- RESP: maximize the \$2,500/year CESG match. Don't over-contribute beyond the grant-eligible amount.
- Never invest short-term savings (<3 years) in volatile assets. Use a HISA or GICs.
- Beneficiary designations override your will — review them annually, especially after life changes.
- Provincial tax rates vary significantly — your province matters for the RRSP vs TFSA math.
- Contribution room carries forward — don't panic about catching up. Focus on the right order.

WHEN THIS FRAMEWORK ISN'T ENOUGH

This guide covers the foundational decisions. But some situations need a full, personalized plan:

- You're incorporated or self-employed (salary vs. dividend optimization)
- You have cross-border income or assets (FIRPTA, FBAR, PFIC rules)
- You're approaching retirement (CPP/OAS timing, RRIF conversion strategy)
- You've received an inheritance or large windfall
- You have complex family structure (blended families, dependent adults)
- You need insurance analysis (life, disability, critical illness)

These are exactly the situations Mosaic was built for.

A conversational AI that builds you a personalized financial plan — investment analysis, tax strategy, retirement projections — reviewed by a Registered Financial Professional.



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